

**Justification Review Document For Sole Source –
FAR Part 13.501 (Format follows FAR 6.303-2, but modified to
reflect FAR subpart 13.5 procedures)**

Program/Equipment: *Drayage Services – BeNeLux (W564KV-25-P-2000)*

Authority: *Simplified Procedures for Certain Commercial Services, 41 U.S.C. 1901 as implemented by FAR Subpart 13.5.*

Amount: 516,416.72€ (\$558,348.70), see Section 2 on page 3 for breakdown

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Reviews

I have reviewed this justification and find it adequate to support other than full and open competition.

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**Justification Review Document For Sole Source –
FAR Part 13.501 (Format follows FAR 6.303-2, but modified to
reflect FAR subpart 13.5 procedures)**

1. **Contracting Activity:** 409th Contracting Support Brigade (CSB), Theater Contracting Center (TCC), Kaiserslautern, Germany, Unit 23163, APO AE 09227.
2. **Description of Action:** Installation Management Command – Europe (IMCOM – E) G4/GSE Furnishings Management Office (FMO) requests approval for a bridge requirement to extend the period of performance of Contract award W564KV-22-C-0045 a further five (05) months (3-month base, 2-month option) to continue drayage services, including transportation, delivery and pick-up of furniture and appliances, in BeNeLux.

The current contract, W564KV-22-C-0045, is a Firm Fixed Price (FFP) Contract type with a period of performance presently ending on 28 February 2025. The anticipated bridge contract will remain FFP on the contract. Fiscal Year 2025 Operation and Maintenance (O&M) funding will be used for this bridge contract.

3. **Description of Supplies/Services:** The Government award contract W564KV-22-C-0045, awarded on 30 August 2022, to Fuduric GmbH & Co. KG. This procurement requires a contractor to perform delivery/pick-up of temporary and permanently issued furniture and appliances on loan to authorized military and civilian personnel stationed on and around US Army Garrisons in BeNeLux. Drayage distribution services include installation and removal of domestic appliances for the Army in Europe Army Family Housing (AFH) and Unaccompanied Personnel Housing (UPH). The procurement also requires a contractor to augment the Government workforce in performing warehouse tasks at the local FMO warehouses to include cleaning of furniture and appliances, minor repair of furniture, assembly of new furniture, and movement and storage of furniture and appliances within the warehouse.

The value for approval under this justification for the bridge requirement is 516,416.72€ (\$558,348.70). The value of this bridge contract is broken down as follows:

- 309,850.03€ (\$335,009.22); 01 March 2025 to 31 May 2025 (three (03) month base)
- 206,566.69€ (\$223,339.48); 01 June 2025 to 31 July 2025 (two (02) month option)

The following Background information describes the current services that this contract bridge requirement would continue to support:

Drayage services are provided to customers which include accompanied families (multi services), logistically supported civilians and their families, and unaccompanied personnel in both barracks and off-post dwelling units. If services

(Source Selection Information - See FAR 2.101 and 3.104-4)

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are not provided, IMCOM – E will not be in regulatory compliance and the Army will experience a dramatic increase in associated costs while also negatively impact the ability of the United States European Command (EUCOM) to complete Permanent Change of Station (PCS) for individuals and families in and out of the European Area of Responsibility (AOR).

- The Army will be unable to house inbound customers until Household Goods (HHG) shipments arrive and are delivered to the dwelling unit. This lack of support would cause a dramatic increase in costs to the Government due to the increased costs with extended stays in temporary lodging.
- Costs to stay in Temporary Lodging Allowance (TLA) will experience at least 50% cost increase due to being forced to stay in lodging without the drayage and furnishings support that is normally afforded to both Inbound and Outbound personnel. This increase in costs could be in the millions of dollars being that ALL inbound and outbound personnel will be affected.
- Customers who require furnishings items exchanged, such as, inoperable appliances, could require relocation to Temporary Lodging due to the government's inability to provide serviceable items which are considered basic necessities authorized according to Army Regulation (AR) 420-1 and CTA 50-909.
- PCS of service members may be impacted by delaying reporting dates due to the lack of furnishings support available in Europe.
- Construction and renovation projects will be delayed and experience increased costs associated with not being able to provide furnishings to the buildings. Construction projects and major renovations that have been authorized furnishings within the project may be delayed due to lack of furnishings.
- Local Housing Offices will not be able to assign housing due to the lack of permanent issue items such as refrigerators, ranges, washers, etc. Inbound and Outbound customers are authorized temporary loaner furniture as they arrive in country and are assigned housing as well as upon departure prior to vacating their dwelling unit.
- AMC furnishings projects out of U.S. Army Corps of Engineers Support Center – Huntsville (CEHNC) will not be completed. CEHNC is to provide furnishings directly from Huntsville which arrive in containers and are usually offloaded at the FMO location or arrive at GSE in Sembach. Services are then requested from the Drayage Contractor for transport from the FMO to the units where they are delivered, assembled, and/or installed. New residents will not be able to occupy these units until permanent issue/duration of tour items are available. Costs for the supply items are covered in the DD 1391 as part of each individual project.
- FMOs at each garrison will no longer be able to provide services to their customer base which will essentially create a "Work Stoppage" for FMO operations. An actual "Work Stoppage" would be realized due to the lack of a contracted service provider to perform these essential services. This includes

(Source Selection Information - See FAR 2.101 and 3.104-4)

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the lack of augmented labor, cleaning of furnishings, and any additional needed processing. Issues, Pick-ups, exchanges, installs, and un-installs will stop until a proper contract vehicle is in place in order to provide these critical services.

Under Contract award W564KV-22-C-0045, the Contractor is responsible for coordinating transportation of furniture and appliances across the entirety of BeNeLux to military and civilian personnel. The Contractor coordinates the transportation and delivery from a total of two (02) FMO warehouses located throughout BeNeLux. In addition, the Contractor is required to provide augmentation in Government warehouses necessary to receive, clean, inventory, and prepare Government-owned furniture and domestic appliances for re-issue. The Contractor performs the services in accordance with the responsibilities outlined in the Performance Work Statement (PWS) while adhering to applicable transportation regulations for the BeNeLux area.

Presently, this is the only procurement vehicle available to support IMCOM – E's mission. The Government relies on the Contractor to plan and coordinate deliveries and pick-ups from across the two (02) FMO warehouses based on weekly schedules issued at each location, which is also susceptible to changes, including volume increases, address revisions and date/time rescheduling. As part of the contract requirements the Contractor is responsible for supplying all the vehicles necessary for the transportation of all the Government's furnishings and appliances.

Contract W564KV-22-C-0045, was awarded with the following 36-month period of performance:

- Phase-In: 31 August 2022 to 29 September 2022
- Base Year – 30 September 2022 to 29 August 2023
- Option Period I – 30 August 2023 to 29 August 2024
- 52.217-8 – 30 August 2024 to 28 February 2025

Concerns rising from unknown variables associated with the effects the CoVID-19 pandemic was creating on commodity prices and labor costs across many global markets as well as the uncertainty that one (01) Contractor would be able to provide services to all US Army Garrisons in BeNeLux ultimately led to the decision to shorten the requirement's period of performance. Given the instability of the economic environment at the time, the period of performance was shortened to alleviate the high risk created by the precarious global conditions, while also allowing for data collection concerning resourcing/staffing and pricing to navigate market conditions as we reprocure future drayage services in BeNeLux.

Since the award of Contract W564KV-22-C-0045, the economies worldwide have stabilized and data collected through market research for the follow-on procurement has confirmed market sources are not only capable of providing support with one (01) Contractor for all US Army Garrisons in BeNeLux, but believe economies of

(Source Selection Information - See FAR 2.101 and 3.104-4)

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scale can be leveraged with a single contractor providing support to the IMCOM – E AOR in the BeNeLux area.

4. **Authority Cited:** *Simplified Procedures for Certain Commercial Services, 41 U.S.C. 1901 as implemented by FAR Subpart 13.5.*
5. **Reason for Authority Cited:** Local drayage services provide distribution, installation, and uninstallation of IMCOM – E managed furniture and appliances as well as warehouse staff augmentation throughout the European theatre of operations, specifically Contract award W564KV-22-C-0045 covers the services provided in BeNeLux. Local drayage services are supported in regulation and policy by AR 420-1, Army in Europe Supplement to AR 420-1, the Defense Joint Travel Regulations as well as other associated DOD/Army policy and regulations. Delivered furniture includes both temporary issued and permanent issued items required for households as they are inbound/outbound and throughout their assignment. Services are funded/appropriated through the Army Family Housing and Unaccompanied Personnel Housing (MDEPs E33H, E35H, and QHFM). These services are determined mission essential.

It is anticipated that the Government will be delayed five months in award of the competitive follow-on contract. PCF Cabinet W564KV24RA0003 was created by the then Contracting Officer's Representative (COR) on 20 March 2023, and with that preparation of the requirement package documentation began, the following timeline illustrates how the procurement has developed from its initiation until the present.

In addition, the delay derived from reasons that were realized from the current contract performance issues on contract W564KV22C0045. As identified in the Market Research Report for the follow-on procurement, detailed in the excerpt below, there are unknown components that have led to extensive discussion on the most appropriate course of action for the procurement and necessitate major revisions to the Acquisition Strategy and rewrites to the Solicitation, in particular to the Evaluation Criteria.

“Pricing is generally based on weight and destination of the items being moved. Since most services are based on need, a contractor would not be able to set a price for each item as all items vary in size, shape, and weight. Normally, a seller, before making an offer, would do a site survey of the household goods that need to be moved and then quote its price based on the particulars for that household. Some of the forces that may drive price are fuel and labor. The potential for price increases in a primary input cost for the drayage contractor would need to be factored into any firm-fixed-price offer from potential drayage contractors. However, fluctuating prices for fuel are an inherent risk for any entity engaging in delivery or drayage services and would not be unique to the current situation. The best way for the Government to combat high prices is to

(Source Selection Information - See FAR 2.101 and 3.104-4)

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reduce the unknown factor. The unknown factor is a risk factor for most contractors. The Government can provide enough historical information for weight and destination/pick-up this could reduce the price premium on unknowns by the vendor and thus would give the Government a more efficient price."

The Acquisition Strategy and Source Selection method for the follow-on procurement have been the subject of debate throughout the processing for the requirement through the various contracting phase before the issuance of the Solicitation. Presently, new revisions to the Acquisition Strategy and Solicitation are currently under review. The time it would take to finish a follow-on procurement and the lead-time to bring another contractor on board would result in a break in services.

The traditional procurement lead time was initially anticipated for this contract award and the customer did plan for this time. However, through the requirement's development and analysis of the current contract design and performance, it is noted that the follow-on contract would require a revision to the planned strategy, scope and solicitation structure to reduce risk of claims by a future contractor. This work in the pre-award phase of the follow-on contract is in effort to mitigate contract performance issues and/or claims on the on the follow-on contract.

Fuduric, the current Contractor, has the base and facility access for their entire staff of personnel. The skilled workforce understands and meets performance and training requirements to address the logistics and repair requirements. To satisfy full performance for this requirement, a contractor would require 60 days to prepare their personnel to be fully capable of meeting contract requirements. Therefore, it is not feasible that should a new contractor be awarded the follow-on requirement, that a new contractor would be postured to fulfill the contract requirements by the end of the current contract (1 March 2025.) Furthermore, there are several reasons supporting a bridge contract, to allow for an additional five (05) months of performance (3-month base, 2-month option), if needed. As discussed below, the Contractor is uniquely qualified to provide these services to IMCOM – E and award of the interim requirements discussed below is appropriate in the interest of economy and efficiency.

- Uninterrupted performance of services by skilled and certified technicians of various appliance Original Equipment Manufacturers.
- Logisticians knowledgeable of the government infrastructure; government data tracking software/systems, performance criteria and regulations governing the PCS support authorized for military and civilians in the European theater.
- Base access for contractor personnel.
- The mobilization period new contractor to begin on site full performance to include badging for base and facility access, processing/approval of various

(Source Selection Information - See FAR 2.101 and 3.104-4)

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- technician certifications, as well as clearances for access to software/systems.
- Fuduric, is currently providing services under Contract W564KV-22-C-0045 and has unique knowledge of the current Government infrastructure, distribution requirements, inventory capabilities and transportation methods that position itself to effectively meet mission needs.
 - Fuduric, possesses the qualifications and personnel required to perform this requirement and can continue performance without interruption if a bridge contract is approved and executed. No other Contractor can meet a similar timeline. Fuduric is currently providing the services for all FMO Warehouses and modifying this award would allow those services to continue uninterrupted.
 - Fuduric, as the incumbent, will not need to expend any additional resources to continue performing the required services considering its performance under the current Contract. Attempting to award to another Contractor other than the incumbent prior to the current Contract's expiration on 28 February 2025, would result in a break in service and would lead to mission failure.
 - A new Contract would necessitate the awardee have time and financial resources to get their employees in place to provide the services under the terms and conditions of the Contract. Significant delay would occur if the subject, interim requirement is competed via full and open competition, resulting from resourcing the contract, obtaining base and facility access, workforce orientation/training for performance compliance and meeting logistics requirements with an authorized vehicle fleet. All this would be necessary for compliance with regulations associated with supporting the military and civilian PCSs within the European AOR.
 - IMCOM – E submitted a timely acquisition package to the Contracting Office for the follow-on competitive action for these services. As previously indicated due to changes in the scope, the solicitation and specifically a change in strategy of contract type, the ability to provide a new competitively awarded contract prior to expiration of this contract is not feasible. To preserve the long-term support to our military and civilians within the European theater a bridge extending Contract award W564KV-22-C-0045 is logical, economical, and efficient. Significant delay would occur if the subject, interim requirement is competed via full and open competition prior to implementing the changes to the scope, solicitation and contract type.
 - The Government anticipates award of a follow-on contract to award W564KV-22-C-0045, will be on or about 29 May 2025. This is about a 90-day period which provides for a 30-day solicitation period, once the solicitation is finalized for release, followed by evaluation of Offers; preparation of the award and sufficient time for review prior to approval to release the award. Additionally, the new Contract will require a 60-day phase-in period to allow the new Contractor sufficient time to bring new employees on board, meaning full performance likely will not be possible under the new Contract until about 29 July 2025 at the earliest. During this time IMCOM – E still requires full

(Source Selection Information - See FAR 2.101 and 3.104-4)

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performance of services to ensure their mission is successful. This bridge contract will ensure continued services to the Government while the completion of this follow-on contract occurs.

Moreover, this extension would provide the necessary time to complete the procurement process for the follow-on Contract award via full and open competition and mitigate the possibility for performance issues under the new procurement. The incumbent contractor, Fuduric, has proven they can provide reliable services to support IMCOM – E. Fuduric holds significant knowledge and experience with this requirement. Fuduric is performing satisfactorily, continuity will remain intact through the three (03) month bridge contract and possible two (02) month option should it be exercised, and there is no risk for a break in service. For these reasons, a bridge requirement is justified, and documentation will be included in the contract file.

A break in service would present unacceptable complications and expenses to the drayage requirements currently handled by IMCOM – E. A break in services would prevent IMCOM – E from performing its mission of ensuring no interruption in transportation, delivery and pick-up of furniture and appliances within the German AOR for all DoD military and civilian personnel. As previously stated, readjustments to the Acquisition Strategy and the Source Selection method, as well as re-writes to the Solicitation led to a delay in procuring follow-on services was unavoidable due to the time it took to develop this requirement, based on current market conditions and practices.

Fuduric have provided drayage services under W564KV-22-C-0045 since the award of the contract on 30 August 2022. Fuduric has assets readily positioned to support the IMCOM – E mission, including resource and logistics network, to provide local drayage distribution services for Government-owned furniture and domestic appliances. Fuduric possesses the specialized and technical expertise for drayage services and is already positioned in Europe to support IMCOM – E's mission to manage, provide, distribute and maintain all furniture and appliances that are owned by the U.S. Government that are used by U.S. Government personnel that are stated within Europe.

6. **Efforts to Obtain Competition:** Presently, work is underway on a follow-on project, Solicitation W564KV-24-R-A0003. The Government intends to solicit this follow-on effort competitively through local sources. The follow-on requirement is excepted from synopsis per the exception found at FAR Part 5.202(a)(12).

This justification will be posted in accordance with the requirements of FAR Part 5.201 and 6.305.

- a- **Effective competition.** The Government intends to award a new Purchase Contract W564KV-22-P-2000 to the incumbent Contractor as a means of

maintaining performance of the required services, while the competitive follow-on effort is pursued and awarded.

b- Subcontracting competition. The incumbent contractor operates a network of sub-contractors they can rely upon to perform the services in those locations where the source may not have an enduring presence. In accordance with FAR Part 44.204(c)(1), FAR Clause 52.244-5, Competition in Sub-Contracting, is not pertinent since Contract award W564KV-22-C-0045 is a firm fixed-price contract, which was awarded on the basis of adequate price competition.

- 7. Actions to Increase Competition:** No additional actions are being taken to increase competition for the follow-on contract. Historically, there has been sufficient competition for these services, with at least three (03) technically acceptable Offers received during the solicitation of Contract award W564KV-22-C-0045. Market research, including a Sources Sought posted on 23 July 2023, indicate the services provided are commercial in nature and common in the IMCOM – E AOR. However, as discussed above, with the exception of the incumbent contractor, no other firms are in a position to begin the full range of performance by 29 October 2025 in the current timeline of procuring the follow-on effort.
- 8. Market Research:** Market research has been an ongoing team effort between the Requiring Activity and Contracting Office, with data collection beginning during performance of Contract W564KV-22-C-0045.

Comparison to an independent government estimate (FAR 13.106-3(a)(2)(vi) was conducted and also to pricing on contract no. W564KV22C0045 and it was determined that the submitted pricing (same pricing) is considered fair and reasonable. Please see spreadsheet in folder IGCE for direct comparison.

Market research further indicates that the current incumbent Contractor, Fuduric, as well as other contractors, are among those prospective sources anticipated to submit an Offer in response to the follow-on competitive effort.

- 9. Interested Sources:** As part of the Market Research for the current follow-on effort, PAN409-23-P-0000 002058, a Sources Sought posted on 23 July 2023. The Sources Sought returned five (05) responses from interested Contractors. These contractors: however, would need the time for the 60-day phase-in, so they would not be able to fulfill the contract immediately and are not capable of providing these services by 29 October 2024. Otherwise, no potential sources have expressed any interest in supporting the continuation of services. This justification will be posted in accordance with the requirements of FAR Part 5.201 and 6.305.

10. Other Facts:

a- Procurement history.

(Source Selection Information - See FAR 2.101 and 3.104-4)

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- *The current Contract – W564KV-22-C-0045, awarded 30 August 2022 with a 32-month period of performance (30 August 2022 to 28 February 2025), including all option years. The total contract amount is 6,097,882.75€. Full and open competitive solicitation.*
- *Previous Contract – W564KV-17-D-2002, awarded 01 February 2017 with a five (05) year ordering period (01 February 2017 to 30 June 2022). The contract included FAR Clause 52.217-8, thus allowing an extension of the ordering period to 30 June 2022. The total contract amount was 4,646,417.45 €. Full and open competitive solicitation.*

b- Other facts.

- N/A

11. Technical/Requirements Certification: I certify that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

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Juan Bryant
 Lead Logistics Management Specialist IMCOM – E

12. Fair and Reasonable Price Determination & Contracting Officer Certification: I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable based upon:

a- This determination will be made using the following:

☒ Price analysis
☒ IGE

☐ Cost Analysis
☐ Other: _____

b- Specifically, one or more of the price analysis techniques for commercial items found in FAR Part 15.404-1(a) to complete evaluation of the price and determine reasonableness. If price reasonableness cannot be determined using price analysis of Government obtained information, additional information in accordance with FAR Part 15.402(a) may be required from the Contractor to support the proposed price.

c- I certify that this justification is accurate and complete to the best of my knowledge and belief, and that completing this purchase as a sole source is in the best interest of the Government.

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Israel Gutierrez
 Contracting Officer